

Discussion of  
**The Macroeconomics of Stablecoins**

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\* The views expressed here do not necessarily represent those of the Bank of Italy.

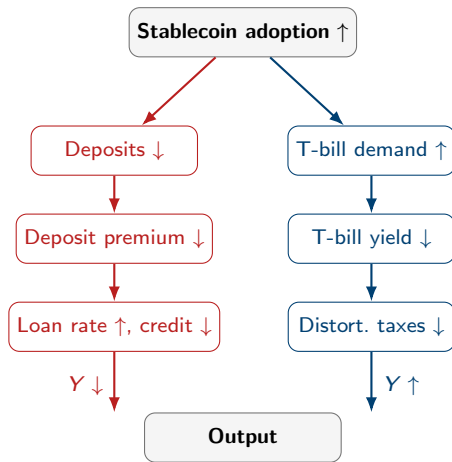
# This paper

A quantitative macro model of stablecoin adoption, calibrated to the U.S.

- ◆ Stablecoins enter as a third **zero-return liquid asset**, competing with **cash** and **deposits** in a CES liquidity bundle.
- ◆ Issuers must hold **T-bills**  $\Rightarrow$  adoption reshuffles the whole financial-sector balance sheet.
- ◆ Two countervailing channels determine the net macro effect:

✗ **Bank-lending channel**  
(contractionary)

✓ **Fiscal-space channel**  
(expansionary)



Net effect = horse race between the two channels.

# Results

A small net effect that hides large reallocations — and a sign that flips

- ① **Long run, domestic adoption:** the bank-lending channel narrowly dominates.  
Output falls by only  $\approx 0.01\%$  for 0.25–3 trn of stablecoins — each channel is individually an order of magnitude larger than the net.
- ② **The sign is fragile by design.** Output *rises* when
  - ❑ demand is **foreign** (+0.04%), debt/GDP > 150%, or T-bill share is high;
  - ❑ issuers hold **central-bank reserves** (seigniorage stays public, +0.08%);
  - ❑ **but it falls further** under a MiCA-style deposit requirement (−0.05%).
- ③ **Transition  $\neq$  long run:** fiscal channel is fast, lending channel slow  $\Rightarrow$  output +0.4% over the first  $\sim 3$  years.
- ④ **Welfare  $\uparrow$  even when output  $\downarrow$ :** liquidity services (Sidrauski) more than offset lost consumption.

# Thoughts on the paper

- ◆ A **timely and ambitious** paper: a serious general-equilibrium answer to a question everyone is asking, while most of the literature is still partial-equilibrium.
- ◆ **The right organizing idea.** Distilling a rich model down to a *horse race* between a bank-lending and a fiscal-space channel is clarifying and memorable.
- ◆ **Genuinely quantitative.** Disciplined calibration to U.S. data, with channel-decomposition experiments that isolate each mechanism — not just a sign, but magnitudes.
- ◆ **Policy-rich.** The regulatory experiments (MiCA deposits, reserve backing, foreign demand) map directly onto live policy debates.
- 👉 **My comments push on one theme: the headline number is small and its sign is delicate** — so what we conclude leans on a few choices. Four probes:
  - ① magnitudes    ② what is a stablecoin?    ③ output vs. welfare    ④ policy.

## ① The headline number is a small residual.

- ◆ The net  $\approx -0.01\%$  is the **difference of two much larger numbers**, so its sign is inherited from the calibration, not the data.
- ◆ It rests on the **convenience-yield block** —  $\ell_0, \ell_1$  pinned to a  $-40\text{bp}$  premium and  $5\text{bp}$  elasticity (Greenwood et al., 2015), and  $\nu = \epsilon = 6$  (Kurlat, 2019).
- ◆ Both run through a *single* object, the deposit/T-bill liquidity premium. **Is each side pinned down separately, or only their difference?**
- ◆ A **sensitivity table** of the net sign over  $(\ell_1, \epsilon, \nu)$  would settle it.

## ② What, exactly, is a stablecoin here?

- ◆ It is a deposit-substitute in the **same CES bundle**, so by construction it draws mostly out of deposits.
- ◆ Empirically it may sit closer to **cash or a payment rail** than to savings — and the  $\epsilon$ -vs- $\nu$  split **carries much of the result**.
- ◆ **Foreign demand** enters as an *exogenous* shifter, yet it is the margin that flips the sign. Could it be **disciplined or endogenized**?
- ◆ The deposit-*beta* result (Drechsler et al., 2017) is a nice piece of discipline — worth foregrounding.

## ③ Welfare rises while output falls.

- ◆ The result hinges on **liquidity utility**  $\omega_D \log(\bar{d})$ : a *zero-return private* asset earns a welfare credit simply by being held.
- ◆ The same Sidrauski logic would credit *any* new liquid token — so is the gain a genuine welfare effect or a **by-product of the utility shifter**?
- ◆ I would want the welfare sign **stress-tested**: net of issuer rents, and under a money-demand discipline on  $\omega_D, \omega_S$ .

## ④ The policy message.

- ◆ The cleanest takeaway is that **seigniorage allocation drives the sign** — private versus public issuers. I would lead with that, not bury it.
- ◆ The model is silent on margins policymakers care about most: **run risk and depegs**, financial-stability spillovers, and **GENIUS Act** reserve rules versus MiCA.
- ◆ Through a narrow-banking lens (Huang and Keister, 2026), is the welfare gain anything more than relabeled *disintermediation*?

# Taking stock

- ◆ A **valuable and well-built** paper — among the first to take stablecoins to a quantitative general-equilibrium model, with a clear two-channel narrative.
  - ◆ Its central message is honest: the **net macro effect is small**. That is itself a reassuring finding for the policy debate.
  - ◆ My comments are all in the service of **making that message robust**:
    - ❑ show the net sign is not a knife-edge in the **convenience-yield and elasticity** parameters;
    - ❑ sharpen what a stablecoin *is* — cash-like or deposit-like, domestic or foreign;
    - ❑ read the **welfare** gain with care, and lead with **seigniorage allocation** as the policy lever.
- 👉 **I learned a lot — looking forward to the discussion.**

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